

RIGETTI COMPUTING, INC. (NASDAQ: RGTI)

Priced for Perfection, Years Before Revenue Initiating with SELL

Equity Research Note · Technology — Quantum Computing · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
SELL Speculative	\$5.00	\$15.25 Oct 2, 2026	-67.2%	High Beta 2.11

Snapshot			
Market cap	~\$5.2 bn	Shares (pro forma)	~341.5 mn
Enterprise value	~\$4.7 bn	52-week range	\$12.53 – \$58.15
Net cash	~\$541 mn (zero debt)	YTD / 1-yr return	-28.5% / -47.0%
TTM revenue	\$13.35 mn (+68%)	Q2'26 revenue	\$5.14 mn (+185% YoY)
Q2'26 op. loss	\$(28.1) mn	Q2'26 gross margin	42.6%
Next catalyst	Q3'26 earnings, ~Nov 9	Analyst consensus	Hold, avg PT \$30.67

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Rigetti's SEC filings (10-K filed Mar 4, 2026; 10-Q filed Jul 23, 2026), its public product and roadmap disclosures, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

Rigetti is a legitimate full-stack superconducting quantum company: it owns its own foundry (Fab-1), ships the industry's largest modular gate-based processor (Cepheus-1-108Q), is growing revenue ~185% off a tiny base, holds **\$541M of net cash**, and just secured a definitive **\$100M CHIPS Act award** from the U.S. Department of Commerce. There is real technology here.

We still cannot get constructive at \$15.25. The stock trades at **~350x trailing revenue** for a company with **\$13M of sales** and a \$28M quarterly operating loss. Our hardened 10-year scenario DCF — Gordon growth on normalized mid-cycle FCF margins, which replaces the old 12x peak-EBITDA terminal multiple — yields bear \$0 / base \$3.52 / bull \$13.33, weighted 25/50/25 to **\$5.09, 67% below** the current price. The damning part: **the price exceeds even the fairly-rendered quantum-breakthrough bull (\$13.33)** — no scenario lets a buyer break even. Reverse-engineering the market price: at \$15.25, investors are underwriting **~\$6.0B of 2035 revenue**, ~3x our base case of \$2.0B. There is no margin of safety, and the roadmap this price depends on has already been reshaped once.

We set our **\$5.00** target at the probability-weighted hardened DCF (\$5.09), because that is what disciplined math says the execution scenario is worth once the terminal is Gordon growth on normalized margins instead of a 12x peak-EBITDA multiple. The old \$10 target leaned on the base case alone; the hardened bear (\$0) now carries a full 25% weight, and serial ATM dilution (effective shares 520/400/380M across scenarios) is priced in share-count terms. Street targets averaging \$30.67 embed bull-case revenue with no visible DCF discipline; we discount them. **SELL**. We would revisit below **~\$5**, where the weighted case starts compensating for the risk.

Why own it

A genuine hardware asset. Fab-1 is the only in-house superconducting foundry among public pure plays; IonQ just spent ~\$1.8B buying SkyWater to get what Rigetti already has. In-house fab means 2–5x faster design-fab-test cycles and a domestic-manufacturing story the government rewards — see the \$100M CHIPS award.

The chiplet scaling path is credible. 12 × 9-qubit chiplets to 108 qubits is real shipping hardware on QCS, Braket, Azure, and qBraid — a yield-friendly scaling argument versus monolithic chips.

Revenue is inflecting. +185% in Q2, Novera on-prem systems selling to real labs (PSC/HPE, Saskatchewan), and an \$8.4M C-DAC India order for a 108-qubit system with revenue expected in Q4 2026 on acceptance.

Balance-sheet runway. \$541M cash, zero debt, ~5+ years at current burn. No near-term forced dilution.

Why the market should be nervous

The price is the base case. Reverse DCF: \$15.83 implies ~\$1.9–2.8B of 2036 revenue at an 8–12x terminal EV/sales multiple. The market is paying in advance for a decade of near-flawless execution by a company with \$13M of sales.

Dilution is the business model. Shares went from ~188M to ~334M in under two years (\$350M+ of ATM/direct raises), plus 7.7M new DOC shares; 22.9M more warrants/options/RSUs sit over the float. Every funding round has come from shareholders.

Concentration and lumpiness. One customer was 64% of Q2 revenue; FY2025 revenue *fell* 34%. This is project revenue, not recurring revenue.

The roadmap has slipped before. The '100+ qubits by end-2025' goal became the chiplet 108Q path; Lyra (336Q, late 2026) and 1,000+ qubits (end-2027) are targets, not commitments. And DARPA cut Rigetti from QBI Stage B while 11 of 15 advanced — a negative technical signal.

2 Business Overview — What the Company Is Doing

Rigetti Computing (founded 2013 by Chad Rigetti; public via de-SPAC March 2022) is a full-stack superconducting quantum computing company headquartered in Berkeley, CA, with 164 employees. The stack is vertically integrated: proprietary multi-chip QPU design, fabrication at its own **Fab-1** foundry in Fremont, control electronics, the Forest SDK / QCS cloud platform, and application development services. Distribution is direct (QCS) and through Amazon Braket, Microsoft Azure Quantum, and qBraid — big tech simultaneously channels Rigetti's hardware and competes with it.

The technology bet is **superconducting transmon qubits with tunable couplers, tiled in a chiplet architecture**. Superconducting gates run at 50–70 ns — roughly 1,000x faster than trapped-ion — at the cost of lower fidelity (99.1% two-qubit for Rigetti vs 99.99% for IonQ, 99.921% for Quantinuum). It is the most industrially pursued modality (IBM, Google share it): validation of the physics, and the heaviest competition. The chiplet thesis: small 9-qubit dies yield far better than large monolithic chips, so scale comes from tiling, not from bigger single dies. Inter-chip coupling adds its own error source — the yield argument is not yet proven to convert into a *fidelity* advantage.

What the company is doing right now

Scaling the chiplet line. Cepheus-1-108Q (12 × 9-qubit chiplets) went GA in April 2026 across all cloud channels; prototype chips have hit 99.9% 2Q fidelity. Roadmap: Lyra 336-qubit late 2026 (~99.7% 2Q target), 1,000+ qubits end-2027, with management estimating quantum advantage ~3 years out — aligned with DARPA's utility-scale 2033 timeline via the Riverlane QEC partnership.

Monetizing the fab and the hardware. Foundry Services sells Fab-1 capacity to academia, defense, and national labs (AFRL, Fermilab/DOE SQMS); Novera 9-qubit on-prem systems are the revenue engine for research institutions; the \$8.4M C-DAC India 108-qubit order is the first commercial-scale system sale (revenue expected Q4 2026 on installation/acceptance).

Banking government validation. Definitive \$100M CHIPS Act OTA signed Sep 4, 2026 (\$43.9M initial tranche, then \$29.9M + \$26.2M milestone tranches) for miniaturized readout electronics, new cryostat architecture, and high-connectivity chip manufacturing. DOC takes 7.74M non-voting shares at ~\$12.92 implied — mild, transferable dilution.

Building hybrid-HPC beachheads. HPE + Pittsburgh Supercomputing Center (\$5M NSF-backed TangleLab): a Novera system integrated with classical HPC, operating in 2027 — positioning quantum as an accelerator, not a replacement.

3 Product Evaluation & Revenue Models

Quantum has no public price list; the 'pricing model' is the **revenue-mix model** — how each product converts physics into dollars, and how durable that dollar is. Rigetti runs five lines, from the most durable (systems) to the least (one-off services).

Product / line	Revenue model	Scale / evidence	Assessment
Novera on-prem systems 9-qubit QPUs for labs	Outright system sales ~\$1M-class tickets	Drove Q2'26 +185% growth; PSC/HPE, Saskatchewan	Best line: real hardware revenue. But 9 qubits = lab instrument, low ceiling per deal.
Cepheus-1-108Q cloud 108-qubit via QCS/Braket/Azure	QCaaS usage / time-based access	GA Apr 2026; 99.1% 2Q fidelity; ~\$88k/qtr system access*	Strategically central, currently negligible revenue. Fidelity gap vs IonQ/Quantinuum matters.
Large on-prem systems 108-qubit commercial	Multi-\$M system sales + acceptance milestones	\$8.4M C-DAC India order; rev expected Q4'26	The swing factor: proves someone buys 100+ qubit machines. One data point so far.

Product / line	Revenue model	Scale / evidence	Assessment
Gov't R&D contracts DARPA, DOE, AFRL, NQCC	Cost-plus / milestone development contracts	\$100M CHIPS OTA; \$5.8M AFRL; 18% of Q2 rev (was 92%)	Non-dilutive R&D; funding, but lumpy and political. DARPA Stage B exclusion stings.
Foundry + professional services Fab-1 external, algorithms	Fee-for-service / wafer & design fees	~\$952k/qtr research svcs*; Quanta 5-yr collab	Utilizes Fab-1; low margin, not a growth engine.

*Q2 2026 mix from earnings-call coverage: ~\$4.10M quantum computers/components, ~\$952k collaborative research/services, ~\$88k system access.

Net assessment: the mix is shifting the right way — from 92% government-dependent (Q2'25) to hardware-led (Q2'26). But durability is the question: system sales are one-time, cloud usage is immaterial, and concentration (one customer at 64% of Q2 revenue) means each quarter is a coin flip on delivery timing. There is no recurring-revenue engine yet.

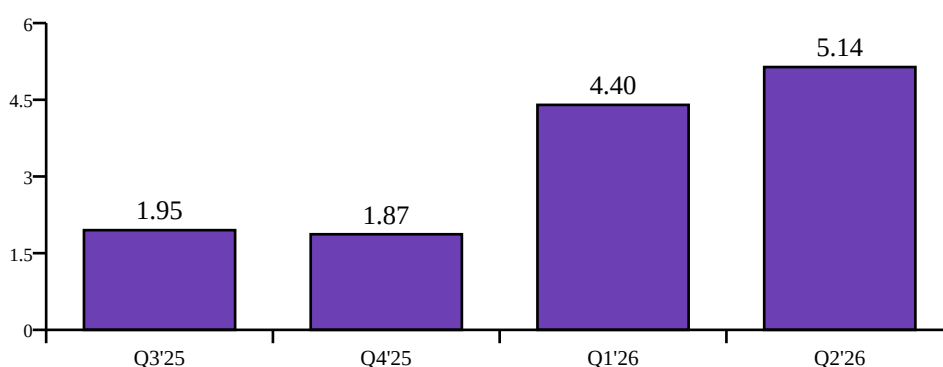
4 Financial Analysis

The financial story in one line: **revenue is inflecting from nothing, losses are large and growing, the balance sheet buys time.** TTM revenue of \$13.35M is +68% YoY — and still 0.25% of the market cap.

\$ mn	FY2024	FY2025	Q1'26	Q2'26
Revenue	10.79	7.09	4.40	5.14
YoY growth	—	-34.3%	+199%*	+185.3%
Gross margin	—	29.1%	—	42.6%
R&D	—	61.35	—	20.73
Operating loss	—	(84.66)	~(26)	(28.06)
Cash + investments	—	589.8	569.0	541.3
Shares out (mn)	—	—	—	333.7

Sources: FY2025 10-K (filed 3/4/2026); Q2 2026 10-Q (filed 7/23/2026); *Q1'26 revenue and losses from earnings coverage / arithmetic (H1'26 \$9.54M – Q2 \$5.14M).

Quarterly revenue (\$ mn): the 2026 inflection



Three things the filings tell you

The P&L is a venture P&L. H1 2026 opex ~\$56M against \$9.5M of revenue; GAAP net loss is polluted by \$78M of derivative warrant liabilities that swing with the share price — judge the company on non-GAAP operating loss (~\$16M in Q2), not GAAP EPS.

The balance sheet is the bull case's enabler. \$541M cash, zero debt, ~\$97M/yr cash burn → 5+ years of runway, and the \$100M CHIPS award extends it further. No going-concern qualification; disclosure controls judged effective.

Dilution is the recurring tax. 2024: 129M shares via ATM/direct/B. Riley raises (~\$206M); H1 2025: 30.3M shares via \$350M ATM (\$346.7M net); plus 7.7M DOC shares and 22.9M warrants/options/RSUs outstanding. Weighted-average shares: 188M (Q3'24) → 325M (Q3'25). Future raises are a when, not an if, once the roadmap's capex phase hits.

The company issues no financial guidance — technology roadmap milestones only. Management's stated posture: 'not managing the business around short-term revenue optimization.'

5 Moat & Growth Drivers

Fab-1 (Fremont, CA). In-house 200mm superconducting line — lithography, e-beam evaporation, 3D TSV packaging under one roof. Only public pure play with its own superconducting fab; IonQ just paid ~\$1.8B for SkyWater to replicate the idea. Claimed 2–5x faster design-fab-test cycles; the CHIPS award is third-party validation of the domestic-manufacturing angle.

Chiplet architecture. 9-qubit dies tile to 108 (and the roadmap to 1,000+) with far better yields than monolithic approaches. A genuine scaling idea — *if* inter-chip fidelity keeps pace.

Gate-speed physics. 50–70 ns superconducting gates, ~1,000x faster than trapped-ion. Speed is the long-run throughput advantage once fidelity converges.

Government pipeline. \$100M CHIPS OTA, \$5.8M AFRL, DOE/Genesis Mission awards, Innovate UK/NQCC, \$8.4M C-DAC India — sovereign buyers are the natural first customers for strategic quantum hardware.

Hybrid-HPC positioning. Novera-in-a-supercomputer (PSC/HPE TangleLab, 2027) sells quantum as an accelerator inside existing HPC budgets — a smarter go-to-market than 'replace the data center.'

Cost discipline vs. peers. ~\$30M/qtr opex vs IonQ's \$160M+/qtr R&D. Rigetti burns less per unit of progress — though it also has far less cash.

Honest grading: the moat is **manufacturing + architecture**, not network effects or switching costs — there are none yet at \$13M of revenue. It is a moat-in-construction, and IBM's \$1B Anderon foundry plus Quantinuum's GlobalFoundries move are building the same wall with deeper pockets.

6 Competition

Competitor	Technology	Scale / position	Assessment
IonQ (IONQ)	Trapped-ion, gate model	\$80M/qtr rev; guides \$450–460M FY26; ~\$17.5B mcap; Superion 256	Commercially far ahead; 99.99% fidelity. Bought SkyWater fab. The comp to beat.
D-Wave (QBSTS)	Annealing + new gate program	\$35.5M H1 bookings; 100+ customers; ~\$6.2B mcap; \$100M CHIPS award	Different physics, but the bookings machine Rigetti lacks. Gate program (QCI acq.) converges on RGTI's lane.
Quantinuum (QNT)	Trapped-ion, gate model	IPO Jun'26 ~\$10B; Helios 99.921% 2Q; \$2.1B cash; SoftBank/JPMorgan customers	Highest-fidelity commercial system. Enterprise traction Rigetti doesn't have.
PsiQuantum (private)	Photonic	\$1.5B Series E at \$10.5B (May'26); \$3.8B total raised; DARPA \$125M	Best-funded private challenger; a future IPO re-prices the whole sector.
IBM / Google / Microsoft	Superconducting / mixed	IBM: \$10B/5yr, \$1B Commerce award; Google Willow 105Q	Distribution (Braket, Azure carry RGTI) <i>and</i> the deep-pocket threat. IBM has the only real enterprise QC business.

Relative position: smallest revenue of the hardware pure plays (IonQ does ~16x Rigetti's quarterly sales), mid-pack on market cap, thinnest commercial pipeline. The superconducting modality is the most validated — and the most contested. Rigetti's lane (fab + chiplets + on-prem systems) is coherent, but every rival has a credible version of at least one of those edges.

7 Valuation

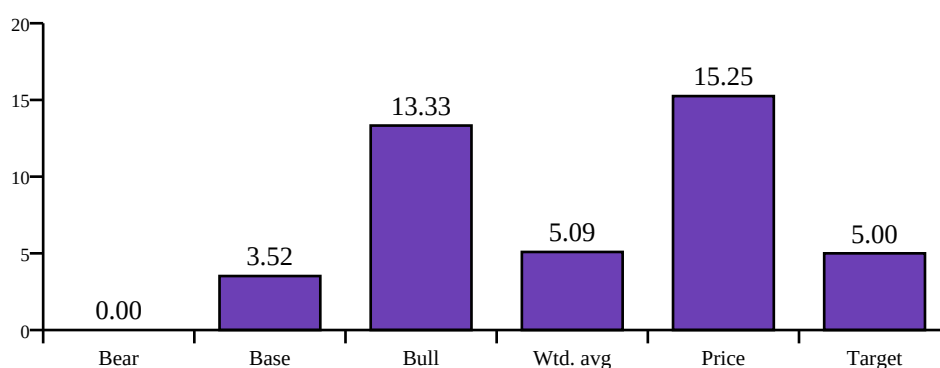
Reference: $\$15.25 \times 341.5\text{M shares} = \5.21B market cap ; $\$541\text{M net cash}$, zero debt; $\text{EV} \sim \$4.67\text{B} \approx \mathbf{350\times \text{TTM revenue}}$. Net cash is $\$1.58/\text{share}$ — roughly 90% of the share price is pure option value on the future.

Method 1 — Hardened scenario DCF (2026–2035 explicit FCF, Gordon terminal on normalized margins)

Scenario	2035 revenue	Norm. FCF margin	WACC / term. g	Eff. shares	Fair value
Bear — revenue peaks \$90M in 2029 then declines; roadmap stalls	\$60 mn	12%	18.5% / 0%	520M	\$0.00
Base — chiplet roadmap delivers; systems + cloud ramp; 58.8% CAGR	\$2.00 bn	20%	16.0% / 1.0%	400M	\$3.52
Bull — quantum advantage ~2029–30; RGTI takes real share	\$5.00 bn	25%	14.5% / 2.5%	380M	\$13.33
Probability-weighted (25 / 50 / 25) → \$5 target					\$5.09

The single biggest change: **Gordon growth on normalized mid-cycle FCF margins replaces the 12x peak-EBITDA terminal multiple**. Base WACC is 16% — CAPM-justified for pre-revenue quantum (the 12% tier is a floor, not a ceiling). Effective share counts 520/400/380M price serial ATM dilution directly into each scenario. **Disclosed caveat:** base terminal value is still **79% of EV** even after haircutting terminal growth 2.0%→1.0% — structural to pre-revenue quantum: when all the cash is a decade out, the terminal is the valuation. We flag it rather than hide it.

Scenario fair values vs. current price and target (\$)



Even the breakthrough bull — \$5.0B of 2035 revenue, quantum advantage ~2029–30 with RGTI taking real share — is worth only \$13.33 today. The current price sits above **every** scenario. No buyer at \$15.25 can break even.

Method 2 — Reverse DCF: what is priced in?

At \$15.25 on the hardened framework, the market implies **~\$6.0B of 2035 revenue** — **3x our base case** and above even the quantum-breakthrough bull (\$5.0B). An investor at this price is not getting a discount for execution risk; they are paying more than the success price and hoping for a scenario the model cannot render.

Method 3 — Peer relative multiples

	RGTI	IONQ	QBTS	Quantinuum
Market cap	~\$5.2 bn	~\$17.5 bn	~\$6.2 bn	~\$10 bn
EV / sales (fwd)	~257x '26E	~38x / 61x* FY26 guide	~410x TTM	~330x FY26 guide
Net cash	\$541 mn	\$1.2–3.0 bn	\$546 mn	\$2.1 bn
2Q fidelity	99.1%	99.99%	annealing	99.921%

*IonQ guide includes SkyWater foundry revenue; 61x on standalone quantum guide. Sources: company reports, market data Oct 2, 2026.

RGTI is mid-pack in a nosebleed peer set — cheaper than D-Wave/Quantinuum on sales, pricier than IonQ — with the weakest commercial traction of the group. Two independent lenses now agree: fair value is ~\$5, not \$15.25.

Price target: \$5.00. The probability-weighted hardened DCF (\$5.09): bear \$0 (25%), base \$3.52 (50%), bull \$13.33 (25%). Implied downside -67.2%. We deliberately sit below Street consensus (\$30.67 average, 7 Buy / 4 Hold / 2 Sell — Wedbush/Rosenblatt \$40 at the top, Jefferies \$18 at the bottom): those targets embed bull-case revenue with no visible DCF discipline, and the two most recent rating actions (Zacks to Strong Sell, Wall Street Zen to Sell, August 2026) lean our way.

8 Risks & Catalysts

Risks

Dilution overhang. 22.9M warrants/options/RSUs outstanding, transferable DOC shares, and a history of funding via ATM. Any acceleration of the roadmap likely means another raise — into weakness, given the -73% drawdown from highs.

Revenue concentration & lumpiness. One customer at 64% of Q2 revenue; system-delivery timing drives quarters; FY2025 revenue fell 34% YoY. There is no recurring base to cushion a missed delivery.

Roadmap execution. Lyra (336Q, late 2026) and 1,000+ qubits (end-2027) are company targets with a history of reshaping; DARPA Stage B exclusion is a live negative signal.

Competitive crowding. IonQ (16x the revenue), D-Wave (bookings machine), Quantinuum (fidelity leader), IBM (\$10B commitment) — Rigetti is outgunned on every axis except fab ownership.

Sector re-pricing. Quantum timelines slipping, a PsiQuantum IPO re-anchoring multiples, or a major error-correction breakthrough by a rival could compress the whole peer set.

What would change our mind (catalysts)

Q4 2026: C-DAC 108-qubit system installed, accepted, and paid — proves commercial-scale demand exists.

Fidelity proof: sustained >99.5% two-qubit fidelity at 108Q+ scale, closing the gap to IonQ/Quantinuum.

Second \$8M+ order that de-concentrates the revenue base below 30% top-customer share — together with the fidelity proof, this is the explicit falsification of the SELL.

Price: a washout toward ~\$5 restores the margin of safety the weighted case deserves.

Recommendation

SELL (Speculative), \$5.00 target (-67.2%). Rigetti owns real assets — a foundry, a chiplet architecture, \$541M of cash, and government validation — but the share price has consumed more than the success case: it exceeds even the fairly-rendered quantum-breakthrough bull (\$13.33). The hardened DCF (Gordon terminal on normalized margins, 16% base WACC, serial ATM dilution priced in) values the equity at \$5.09 weighted. At ~350x trailing sales with no recurring revenue and a roadmap that must execute flawlessly for a decade, the risk/reward is skewed against the buyer. This is an option on quantum advantage arriving on Rigetti's timeline; options should not be priced above the breakthrough scenario. **Falsification:** sustained >99.5% two-qubit fidelity at 108Q+ plus a second \$8M+ order de-concentrating the top customer below 30% would force a rebuild of the bull case. Until then: SELL.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company SEC filings, public product/roadmap disclosures, and market data as of October 2, 2026.